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Amending Acts

1. Special Economic Zone (First Amendment) Act, 2075 2075.12.13
2. Act to Amend Certain Nepal Acts Relating to Investment Facilitation, 2081 2081.03.24
3. Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 2081.12.18

Act No. 9 of the Year 2073

An Act Made to Provide for the Establishment, Operation and Management of Special Economic Zones

Preamble: Whereas, it is expedient to make legal provisions for the establishment, operation and management of Special Economic Zones to accelerate the pace of economic development by advancing the process of industrialization in the country through the promotion of exports,

The Legislature-Parliament has enacted this Act pursuant to Sub-Article (1) of Article 296 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Special Economic Zone Act, 2073".
- (2) It shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Chairperson" means the Chairperson of the Committee.
 - (b) "License" means the license obtained pursuant to Section 8.
 - (c) "Licensee" means an investor who has obtained a license pursuant to Section 8. Amended by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.
 - (d) "Industry" means an industry other than an industry included in the list of industries that cannot be established in a Special Economic Zone pursuant to Section 5.
 - (e) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.
 - (f) "Infrastructure Structure" means the structure required for the development of a Special Economic Zone, and that term also includes a pharmacy, hospital, post office, banking service, child care center, school and canteen to be established in the Special Economic Zone.
 - (g) "Authority" means the Special Economic Zone Authority established pursuant to Section 14.

(h) "Investor" means a person, firm, company or organized body investing in the construction of an industry or infrastructure structure, and that term also includes a foreign government, foreign person or international organization investing in the construction of an industry or infrastructure structure.

(i) "Ministry" means the Ministry of Industry.

(j) "Special Economic Zone" means a Special Economic Zone designated pursuant to Section 3.

(k) "Member" means a member of the Committee, and that term also includes the Chairperson.

(l) "Committee" means the Management Committee formed pursuant to Section 19. Chapter-2
Provisions Relating to Establishment, Operation and Management of Special Economic Zone

3.

Power to Designate Special Economic Zone: (1) The Government of Nepal may, on the recommendation of the Authority, by publishing a notice in the Nepal Gazette, designate any place in Nepal as a Special Economic Zone. (2) The Special Economic Zone designated pursuant to Sub-section (1) may include an Export Processing Zone, an Export Promotion House or any other zone designated by the Government of Nepal. Explanation: For the purposes of this Section,- (a) "Export Processing Zone" means the area within a Special Economic Zone developed for establishing export-oriented industries. (b) "Export Promotion House" means a company, firm or cooperative institution established pursuant to the prevailing law for the purpose of collecting products of industries established within the Special Economic Zone and exporting them abroad. 4. Proposal for Establishment of Special Economic Zone: (1) If the Authority finds it appropriate to designate any place as a Special Economic Zone pursuant to Section 3, it shall conduct a necessary survey thereof and submit a proposal to the Government of Nepal for designating that place as a Special Economic Zone along with a detailed report thereof. Explanation: For the purposes of this Section, "survey" means a survey conducted to ascertain a suitable place for establishing a Special Economic Zone, and that term also includes a feasibility study and engineering design of the Special Economic Zone. (2) While conducting a survey pursuant to Sub-section (1), the Authority shall, in addition to other matters, also take into account matters such as road access, telecommunication service, electricity and water facilities, sufficiency of land, availability of workers and raw materials. Inserted by the First Amendment.(3) Based on the proposal submitted pursuant to Sub-section (1), the Government of Nepal may designate such place as a Special Economic Zone. 5. Preparation of List of Industries: (1) The Authority shall prepare and publish a list of industries as prescribed that cannot be established in a Special Economic Zone. Amended by the First Amendment. (2) (3) Deleted by the First Amendment Amended by the First Amendment.6.

Establishment and Operation of Special Economic Zone may be Done by the Private Sector: (1) The Government of Nepal may, on the recommendation of the Authority, approve the private sector to establish a Special Economic Zone and to operate, manage and develop the infrastructure structure of such Special Economic Zone. (2) The Government of Nepal may, with the joint participation of the Government of Nepal and the private sector, or by the private sector, operate and manage the Special Economic Zone designated pursuant to Sub-section (3) of Section 4 or develop the infrastructure structure thereof. (3) Other provisions relating to the establishment, operation and management of a Special Economic Zone or development of infrastructure structure pursuant to Sub-section (1) or (2) shall be as prescribed. 7. Industry may be Transferred and Operated in Special Economic Zone: An investor of an industry registered or licensed under the prevailing law and operating outside a Special Economic Zone at the time of commencement of this Section may transfer the machinery, tools or equipment already put into use to the Special Economic Zone

and operate the industry. Chapter-3 Provisions Relating to License 8.

License Required: (1) An investor desiring to establish any industry by making investment of capital as prescribed in a Special Economic Zone shall submit an application to the Authority in the prescribed format stating the prescribed particulars. (2) Upon inquiry into the application filed pursuant to Sub-section (1), if it appears appropriate to grant the license, the Authority shall, by collecting the fee as prescribed, issue the license to the applicant in the prescribed format within thirty days from the date of receipt of the application. (3) Deleted by the First Amendment (4) Deleted by the First Amendment (5) If applications are filed pursuant to Sub-section (1) to establish more than one industry of the same type in a Special Economic Zone and it is not possible to grant licenses to establish all such industries as demanded in that Zone, the Authority may, on the basis of the priority prescribed, grant a license to any investor in the prescribed format. (6) If, Amended by the Act to Amend Certain Nepal Acts Relating to Investment Facilitation, 2081. upon inquiry into the application pursuant to Sub-section (2) , it is not possible to grant the license, the Authority shall give information thereof along with the reason to the applicant within seven days from the date of such decision. (7) A person or body aggrieved by the decision made by the Authority pursuant to Sub-section (6) may appeal to the Ministry within thirty-five days from the date of receipt of the information of the decision. (8) If an appeal is filed pursuant to Sub-section (7), the Ministry shall decide within thirty days from the date of filing of such appeal. (9) The decision made by the Ministry pursuant to Sub-section (8) shall be final. 9.

10. Power to Cancel License: (1) If the Licensee fails to get the license renewed within the period pursuant to Sub-sections (2) and (3) of Section 9, such license shall stand cancelled.

(2) If the Licensee commits or causes to be committed any of the following acts, the Authority may cancel the license obtained by him/her/it:-

(a) Amended by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. Failure to enter into an agreement within the period referred to in Section 11, or failure to establish and operate the industry within the period stipulated in the agreement,

(b) Failure to fulfill the obligation pursuant to Section 12,

Deleted by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081. (c) ,

(d) Misuse of the concessions obtained by the industry,

(e) If it is proved that the concessions were obtained by providing false details.

(3) Before canceling the license pursuant to Sub-section (2), the Authority shall give the concerned Licensee a reasonable opportunity to submit his/her/its defense.

(4) If the license is canceled pursuant to Sub-section (1) or (2), the agreement entered into with the Licensee shall be deemed to have been automatically terminated.

(5) If the license is canceled pursuant to Sub-section (1) or (2), the Licensee shall not be entitled to claim any kind of compensation in lieu of the investment made in the industry, and shall not be entitled to obtain any concession and facility under this Act from the date of cancellation of the license.

(6) If the license is canceled pursuant to Sub-section (1) or (2), the Licensee shall dispose of his/her/its immovable property situated in the Special Economic Zone within one year from the date of such cancellation

of the license.

(7) If the Licensee is unable to dispose of his/her/its immovable property within the period pursuant to Sub-section (6), such property shall vest in the Government of Nepal.

(8) Before canceling the license pursuant to Sub-section (2), the Authority may itself or through any authorized officer under it understand necessary matters or cause an inquiry to be made.

(9) A Licensee aggrieved by the cancellation of license pursuant to Sub-section (2) may appeal to the concerned High Court within thirty-five days. Amended by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.11.

Agreement Required: (1) The Licensee shall, within one hundred twenty days from the date of obtaining the license, enter into an agreement with the Authority on the following matters relating to the establishment and operation of the industry:- (a) The lease or rental amount or fee to be paid by the Licensee for the use of buildings, land or services (electricity, water, drainage, waste management, etc.) required for the industry, (b) The date for establishing and operating the industry, (c) The quantity of production to be exported by the industry, (d) In case of a foreign investor, the matter of technology transfer, (e) Other matters as prescribed.

(2) If the Licensee files an application to extend the period stating a reasonable cause for being unable to enter into the agreement within the period pursuant to Sub-section (1), the Authority may extend the period for up to thirty days once. Chapter-4 Duties and Obligations of Licensee 12. Obligation of Licensee: It shall be the obligation of the Licensee to comply with the agreement made with the Authority pursuant to Section 11 and this Act or the Rules framed under this Act. Amended by the First Amendment.13. Export Required: Amended by the Act to Amend Certain Nepal Acts Relating to Investment Facilitation, 2081.(1) The Licensee shall export at least fifteen percent of the production within four years from the date of commencement of production by the industry established in the Special Economic Zone, and at least thirty percent of the production in subsequent years of goods or services. Inserted by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.Provided that, if unable to export due to circumstances beyond control, the industry may, with prior approval of the Authority, sell the quantity so permitted within the domestic market of Nepal for the duration of such circumstances.

Explanation: For the purposes of this Section, "circumstances beyond control" means a disaster situation such as war, flood, inundation, earthquake, epidemic, fire, industrial accident occurring in a manner that adversely affects the industry and export activities, and that term also denotes a situation where export is impossible due to an adverse effect on exports caused by a change in the trade policy of the importing country.

(2) Notwithstanding anything written in Sub-section (1), the Licensee may sell goods or services produced from such industry in the domestic market of Nepal for up to Inserted by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.three years from the date of commencement of operation of the industry established in the Special Economic Zone.

(3) If any goods or services produced by the Licensee are to be sold in the domestic market of Nepal pursuant to Sub-section (1) or (2), information thereof shall be given to the Authority stating the prescribed particulars before selling such goods or services.

(4) A Licensee selling goods or services in the domestic market of Nepal pursuant to Sub-section (1) or (2)

shall not be provided tax exemption and facilities under this Act to the extent of the quantity of such goods or services sold. Chapter-5

Establishment of Authority and Its Functions, Duties and Powers

14. Establishment of Authority: (1) The Special Economic Zone Authority is established to operate and manage the Special Economic Zone, to construct or maintain infrastructure structures in the Special Economic Zone or cause them to be so done, to monitor or regulate industries established within the Special Economic Zone, and to provide services to such industries from a single window unit.

(2) The head office of the Authority shall be in Kathmandu Valley, and the Authority may, with the approval of the Ministry, open branch offices or contact offices as required. 15. Authority to be an Autonomous Corporate Body: (1) The Authority shall be an autonomous and corporate body with perpetual succession.

(2) The Authority shall have its own separate seal for its business.

(3) The Authority may, like a person, acquire, enjoy, sell or otherwise dispose of movable and immovable property.

(4) The Authority may, like a person, sue and be sued in its own name.

(5) The Authority may, like a person, enter into contracts and exercise rights and assume liabilities under such contracts. 16.

Functions, Duties and Powers of Authority: In addition to the functions, duties and powers written elsewhere in this Act, the functions, duties and powers of the Authority shall be as follows:- (a) To advise the Government of Nepal on policies to be adopted for the establishment, development and operation of Special Economic Zones, (b) To prepare or cause to be prepared necessary standards for the establishment, operation and management of Special Economic Zones and the development of their infrastructure structures, (c) To grant licenses to industries to be established in the Special Economic Zone and renew licenses, (d) To determine the standards for lease or rental amounts, fees or charges to be collected in lieu of land, buildings, services or facilities provided to industries: Provided that, if any Special Economic Zone is established, operated and managed with the participation of the Government of Nepal and the private sector or by the private sector pursuant to Sub-section (1) of Section 6, the lease or rental amounts, fees or charges to be collected in lieu of land, buildings, services or facilities provided to industries from such Special Economic Zone shall be as determined in agreement with the company establishing, operating and managing such Special Economic Zone, (e) To recommend to the concerned body for services, facilities or tax exemptions to be obtained by industries under this Act, Inserted by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(e1) To approve the map of physical structures including buildings required for the industry and inform the concerned local level, (f) To lease out land, buildings, etc. required by industries, (g) To conduct periodic inspection of industries established in the Special Economic Zone and take necessary action if any industry is found to have acted contrary to this Act or the Rules framed under this Act, (h) To arrange for security in the Special Economic Zone, (i) To make necessary arrangements for the provision of services and facilities such as banks, post office, health posts, recreation centers in the Special Economic Zone, (j) To permit the import of goods such as machinery, equipment, spare parts, means of transport, raw materials, packaging materials required by investors within the Special Economic Zone on the basis of approval of investment proposal, (k) To provide export, import, approval or certificate of origin as required by industries, (l) To perform other functions necessary for the development and promotion of the Special Economic Zone and industries therein.

Provisions Relating to Employees: (1) There shall be necessary number of employees in the Authority for the conduct of its affairs. (2) The appointment, remuneration, facilities and service conditions of the employees of the Authority shall be as prescribed. (3) Until employees are appointed pursuant to Sub-section (2), the Government of Nepal shall provide the employees required by the Authority. 18. Special Provision Relating to Employees: The employees working in the Special Economic Zone Development Committee operated by the Government of Nepal at the time of commencement of this Act may be converted into employees of the Special Economic Zone Authority on the basis as prescribed. Chapter-6 Provisions Relating to Management Committee 19. Formation of Committee: (1) A Management Committee shall be formed to perform all business to be carried out on behalf of the Authority in accordance with this Act and the Rules framed under this Act. Amended by the First Amendment. (2) The Committee pursuant to Sub-section (1) shall consist of the following members:- (a) Secretary, Ministry of Industry, Commerce and Supplies - Chairperson (b) Joint Secretary, Ministry of Industry, Commerce and Supplies - Member (c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (d) Joint Secretary, Ministry of Finance - Member (e) Joint Secretary, Ministry of Labour, Employment and Social Security - Member (f) President or Member of the Federation of Nepal Chambers of Commerce and Industry - Member (g) President or Member of the Confederation of Nepalese Industries - Member (h) President or Member of the Federation of Women Entrepreneurs' Association of Nepal - Member (i) President or Member of the Nepal National Industrial Business Association - Member (j) One representative recommended by the Joint Trade Union Coordination Centre - Member (k) Executive Director, Authority - Member-Secretary (3) The Government of Nepal may, by publishing a notice in the Nepal Gazette, make necessary additions, deletions or changes to the members of the Committee. (4) The term of office of a member appointed by the Government of Nepal pursuant to Clause (nya) of Sub-section (2) shall be four years. (5) Notwithstanding anything written in Sub-section (4), if the performance of a member appointed by the Government of Nepal is not satisfactory, the Government of Nepal may remove him/her at any time: Provided that, a reasonable opportunity to submit a defense shall be given to him/her before such removal. 20.

Meeting and Decision of Committee: (1) Meetings of the Committee shall be held as required. (2) The meeting of the Committee shall be held at the date, time and place designated by the Chairperson. (3) The Member-Secretary of the Committee shall give notice of the meeting to all members at least seven days before the meeting. (4) The quorum for a meeting of the Committee shall be deemed to be constituted if more than fifty percent of the total number of members currently holding office are present. (5) The meeting of the Committee shall be chaired by the Chairperson, and in his/her absence, a member chosen by the members present at the meeting from among themselves shall chair the meeting. (6) The opinion of the majority shall prevail in a meeting of the Committee, and in case of a tie, the person chairing the meeting shall have a casting vote. Amended by the First Amendment. (7) The Committee may, as required, invite any expert on the relevant subject or any office bearer of any other body concerned with the subject to the meeting of the Committee. (8) The decision of the Committee shall be certified by the Member-Secretary. (9) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. 21. Meeting Allowance and Facilities for Members: (1) A member of the Committee shall receive meeting allowance as prescribed for participating in a meeting. (2) Other facilities to be received by a member of the Committee for performing the work of the Authority shall be as prescribed. Chapter-7 Provisions Relating to Executive Director 22.

Executive Director: (1) There shall be an Executive Director to act as the administrative chief of the Authority.

(2) The Government of Nepal shall appoint the Executive Director on the recommendation of the Recommendation Committee pursuant to Sub-section (3). (3) There shall be a Recommendation Committee as follows to recommend the appointment of the Executive Director:- (a) Member of the National Planning Commission (looking after the concerned sector) - Coordinator (b) Secretary, Ministry of Industry - Member (c) One person designated by the Committee from among experts working in the field of industry, commerce, trade, revenue administration, law, engineering or management - Member (4) The Recommendation Committee pursuant to Sub-section (3) shall, based on open competition, select and recommend three names to the Government of Nepal for appointment to the post of Executive Director from among persons who have obtained at least a post-graduate degree in management, economics, engineering or law from a recognized educational institution and have at least ten years of experience in the field of industry, commerce, trade, revenue administration, engineering or management. (5) The term of office of the Executive Director shall be four years, and if his/her performance is found satisfactory, the Government of Nepal may, on the recommendation of the Recommendation Committee pursuant to Sub-section (3), reappoint him/her to the post of Executive Director for another one term. (6) Notwithstanding anything written in Sub-section (5), if the Executive Director is found to have failed to fulfill his/her official responsibilities or to have done any act contrary to the interest of the Authority, the Government of Nepal may remove him/her from the post of Executive Director at any time: Provided that, he/she shall not be deprived of a reasonable opportunity to submit a defense before such removal. (7) The remuneration, facilities and other terms of service of the Executive Director shall be as prescribed. 23. Functions, Duties and Powers of Executive Director: The functions, duties and powers of the Executive Director shall be as follows:- (a) To implement or cause to implement the decisions and directives of the Committee, (b) To implement or cause to implement the programs approved by the Committee, (c) To inspect and monitor the business relating to the operation and management of the Special Economic Zone and submit a report to the Committee, (d) To conduct the day-to-day administration of the Authority, (e) To perform other functions as prescribed. Chapter-8 Provisions Relating to Concessions to be Received by Industries Established in Special Economic Zone 24.

Special Treatment: For the purposes of duty, fee or tax leviable on commercial transactions conducted by an industry established in a Special Economic Zone, or on goods or services produced in such Zone, such Zone shall be considered as an area outside the tax jurisdiction and given special treatment. 25. Not to be Nationalized: No industry established and operating within a Special Economic Zone shall be nationalized. 26. Discount on Rental or Lease of Land or Building: In the amount payable as rental or lease for land or building used by an industry established within a Special Economic Zone, there shall be a discount at the rate of fifty, forty and twenty-five percent respectively for the first, second and third years from the establishment of the industry. Inserted by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.26a. Power to Borrow Loan: An industry in a Special Economic Zone may borrow loans by keeping its fixed assets other than land or its agreement as collateral with banks and financial institutions. Amended by the First Amendment. 27. Exemption on Income Tax: (1) There shall be exemption as follows in the income tax leviable on the income of an industry established in a Special Economic Zone and the tax leviable on dividends distributed by such industry:- (a) One hundred percent of the income tax leviable for ten years from the date of commencement of business by an industry established in a Special Economic Zone situated in a Himalayan district or a hilly district designated by the Government of Nepal, and fifty percent of the income tax leviable in subsequent income years, (b) One hundred percent of the income tax leviable for five years from the date of commencement of business by an industry established in a Special Economic Zone situated in an area other than the area referred to in Clause (a), and fifty percent of the income tax leviable in subsequent income years, (c) One

hundred percent of the tax leviable on dividends distributed by an industry established in a Special Economic Zone for five years from the date of commencement of business, and fifty percent for the subsequent three years, (d) Fifty percent of the income tax leviable on the income earned by a foreign investor of an industry established in a Special Economic Zone from foreign technology or management service fees and royalties.

29. Customs Duty Exemption: Amended by the First Amendment.(1) On goods imported by an industry established in a Special Economic Zone, customs duty and other facilities shall be provided as follows on the recommendation of the Authority:-

(a) To import raw materials and auxiliary raw materials (including packaging materials) required for producing such goods for export or for sale domestically in convertible foreign currency, taking bank guarantee for the customs duty and other duties leviable on import,

(b) To import plant, machinery, equipment and spare parts required by the industry, taking bank guarantee for the duties leviable on import,

(c) If the fact that the plant, machinery, equipment and spare parts imported pursuant to Clause (b) have been installed in the concerned industry is certified by the Authority, to release the bank guarantee taken pursuant to Clause (b),

(d) One percent customs duty shall be leviable on one means of transport imported for use by the industry for transporting its workers and employees and on transport means for transporting goods.

(2) If any importer sells goods imported by him/her to an industry located in a Special Economic Zone as prescribed, and if he/she has paid customs duty at the time of importing such goods, the Customs Office shall refund such customs duty to him/her as prescribed.

(3) If any finished goods produced by an industry located outside a Special Economic Zone are sold to an industry located within the Special Economic Zone, such sale shall be treated as export and the same customs duty and other facilities as obtained upon export shall be provided.

(4) If goods prepared from raw materials imported with customs duty exemption by an industry established in a Special Economic Zone are sold by the concerned industry for consumption in Nepal, such goods shall be allowed to be taken out of the Special Economic Zone only after paying the duty leviable on the raw materials used in such goods.

(5) The Government of Nepal may, by publishing a notice in the Nepal Gazette, issue an order prescribing procedures regarding the transfer of ownership of goods imported with duty exemption by an industry located in a Special Economic Zone to any person within or outside the Special Economic Zone. It shall be the duty of the concerned industry to comply with such order. 30.

Facility Equivalent to Export: If any firm, company or industry established pursuant to the prevailing law sells its raw materials or Amended by the Act to Amend Certain Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.any product or service to an industry established in a Special Economic Zone, such sale shall be deemed to be equivalent to export, and if any facility is obtainable under the prevailing law for export, such firm, company or industry shall obtain such facility. 31. Power to Take Back in Foreign Currency: (1) A foreign investor investing in foreign currency in an industry established in a Special Economic Zone may take back the following amounts in foreign currency outside Nepal:- (a) Amount obtained from the sale of shares of part or all of the foreign investment, (b) Amount of dividends receivable in lieu of foreign investment, (c) Amount received as payment of principal and

interest on foreign loans. (2) If a Licensee investing pursuant to Sub-section (1) has mentioned taking back investment in a specific currency while entering into the agreement pursuant to Section 11, he/she shall be entitled to take it outside Nepal in that same currency. 32. Power to Open and Conduct Transactions in Foreign Currency Account: (1) A Licensee may, on the recommendation of the Authority, open an account in foreign currency in a commercial bank established pursuant to the prevailing law relating to banks and financial institutions. (2) A Licensee may conduct transactions in foreign currency in connection with the industry established in the Special Economic Zone. 33. Single Window Unit: Amended by the First Amendment. (1) A single window unit shall be established with units of the concerned bodies for the purpose of assisting and facilitating industries or investors established in a Special Economic Zone in the following tasks required to be done by the industry under the prevailing law, and to provide other necessary services, facilities and concessions from one place:- (a) Industry registration and industry administration related work, (b) Work of granting approval for foreign investment, (c) Company registration and administration related work, (d) Work relating to granting exemption, facility or concession under this Act, (e) Work relating to issuing Permanent Account Number registration certificate in coordination with the Inland Revenue Department, (f) Work relating to issuing Certificate of Origin, (g) Work relating to visa, (h) Work relating to labor permit, (i) Work relating to other services and facilities obtainable under this Act or the Rules framed under this Act.

Amended by the First Amendment. (2) Other exemptions, facilities or concessions available to industries established in a Special Economic Zone, in addition to the facilities referred to in Sub-section (1), shall be as prescribed by the Government of Nepal by publishing a notice in the Nepal Gazette. 34. Provisions Relating to Visa: (1) A foreign citizen coming to Nepal to study or research with the objective of investing in an industry shall be granted a non-tourist visa of up to six months.

(2) A foreign investor or his/her dependent family or authorized representative or his/her dependent family shall be provided a business visa to stay in Nepal as long as the foreign investment in the industry subsists: Provided that, a foreign investor investing at least one crore US dollars or equivalent convertible foreign currency at one time and his/her dependent family shall be provided a residential visa as long as such investment subsists.

(3) A foreign worker or employee coming to work in an industry pursuant to Section 38 shall be granted a non-tourist visa on the recommendation of the Authority. 35. Other Facilities: (1) In addition to the facilities mentioned in this Chapter, an industry established in a Special Economic Zone shall receive the following facilities:-

- (a) To use a bonded warehouse as written in the agreement,
- (b) To sub-contract between industries,
- (c) To claim accelerated depreciation as prescribed.

(2) The Government of Nepal may, on the recommendation of the Authority, provide other facilities as prescribed by publishing a notice in the Nepal Gazette to the industry. 36. Guarantee of Exemption, Facility or Concession: (1) No provision shall be made that limits or adversely affects the exemption, facility or concession provided to an industry established in a Special Economic Zone under the law in force at the time of its establishment.

(2) Exemptions, facilities or concessions provided to an industry established in a Special Economic Zone with a fixed period under this Act shall be obtained until that period.

(3) If there is any provision in this Act or any other prevailing law that is contrary to Sub-sections (1) and (2), such provision shall not apply to such industry to the extent of the adverse effect. 37.

Exemption and Concession Not to be Obtained: (1) Notwithstanding anything written elsewhere in this Chapter, if an industry established in a Special Economic Zone fails to export its production pursuant to Section 13 in any fiscal year, it shall not obtain the tax exemption and concession obtainable under this Act for that fiscal year. (2) The quantity of goods or services to be exported out of the goods or services produced by any industry established in a Special Economic Zone in any fiscal year shall be ascertained as prescribed on the basis of the production capacity of such industry and the quantity of raw materials used. (3) The Authority shall keep a record of the details required to ascertain the quantity produced pursuant to Sub-section (2) in an updated manner and monitor it.

Chapter-9 Provisions Relating to Workers and Employees 38. **Fulfillment of Workers or Employees:** (1) A Licensee shall fulfill the workers or employees required for the industry from Nepali citizens. (2) While fulfilling workers or employees pursuant to Sub-section (1), the Licensee shall fill the positions by publishing a public advertisement. (3) While publishing a public advertisement pursuant to Sub-section (2), if Nepali workers or employees possessing the required special skills are not available for a specific technical position requiring such special skills, the Licensee shall submit an application to the Authority for approval to appoint non-Nepali citizens as workers or employees, stating the basis and reason thereof. (4) Upon inquiry into the application filed pursuant to Sub-section (3), if it appears that Nepali workers or employees are not available for the industry, the Authority may grant approval to employ non-Nepali citizens for a maximum of seven years in the case of a specific type of skilled technical worker or employee, and for a maximum of five years in the case of other technical workers or employees. (5) Notwithstanding anything written elsewhere in this Section, for workers or employees at the managerial level and those involved in state-of-the-art technology, the Authority may grant approval to employ non-Nepali citizens for a period longer than the period mentioned in Sub-section (4).

Explanation: For the purposes of this Sub-section, "managerial level" means a person making final decisions regarding the activities of any industry, and that term also denotes a person appointed to a chief position in any part or unit of the

(2) While conducting inspection, monitoring, and supervision pursuant to sub-section (1), if any licensee is found to have done any act contrary to this Act or the rules or agreements made under this Act, the Authority may give necessary directions to the concerned licensee.

(3) It shall be the duty of the concerned licensee to comply with the direction given by the Authority pursuant to sub-section (2).

51. **Dispute Resolution:** (1) If any dispute arises between an investor or the concerned industry and the Authority, the concerned parties shall resolve such dispute by mutual discussion under the auspices of the Ministry.

(2) If the dispute cannot be resolved pursuant to sub-section (1), it shall be resolved by arbitration in accordance with the prevailing arbitration rules of the United Nations Commission on International Trade Law (UNCITRAL).

(3) The arbitration shall be held in Kathmandu, and the law of Nepal shall apply to the arbitration.

(4) Notwithstanding anything contained in sub-sections (1), (2) and (3), disputes arising in relation to foreign investment in industries with investment as prescribed may be resolved in accordance with the provisions mentioned in the foreign investment agreement.

52. **Submission of Report:** (1) A licensee shall submit a report including the quantity of goods or services exported from its industry throughout the year and details of

the income and expenditure of the industry to the Authority within three months after the end of each fiscal year.

(2) The Authority shall submit an annual report of its activities to the Ministry within four months after the end of each fiscal year.

(3) The report pursuant to sub-section (2) shall include, among other things, the achievements from the establishment of the Special Economic Zone, its impact on the economic condition of the country, and the activities performed by the Authority throughout the year.

(4) The Ministry shall publish the annual report pursuant to sub-section (2) publicly. 53. May Form Sub-Committee: (1) The Committee may, as necessary, form a sub-committee to carry out or cause to be carried out its duties under this Act or the rules made under this Act in a smooth manner.

(2) The functions, duties, and powers of a sub-committee formed pursuant to sub-section (1) shall be as specified by the Committee at the time of forming such sub-committee. 54.

Delegation of Powers: The Committee may, as necessary, delegate some of the powers vested in it pursuant to this Act or the rules made under this Act to any member of the Committee, a sub-committee formed pursuant to Section 53, or any officer or employee of the Authority. 55. Matters to be According to this Act: Matters provided for in this Act shall be according to this Act, and other matters shall be according to the prevailing law. 56. May Give Direction: The Government of Nepal may give necessary directions to the Authority regarding the proper operation, regulation, and development of the Special Economic Zone, and it shall be the duty of the Authority to comply with such directions. 57. Contact with Government of Nepal: The Authority shall maintain contact with the Government of Nepal through the Ministry. 58. May Frame and Implement Guidelines: The Authority may frame and implement necessary guidelines relating to the management of industries within the Special Economic Zone and the resolution of disputes between industries and workers or employees. 59. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of this Act. 60. May Make Regulations: The Authority may, subject to this Act or the rules made under this Act and with the approval of the Ministry, make necessary regulations relating to financial and employee administration. 61. Repeal and Saving: (1) The Special Economic Zone Development Committee (Formation) Order, 2069 is hereby repealed. (2) All actions and proceedings performed under the Special Economic Zone Development Committee (Formation) Order, 2069 shall be deemed to have been performed under this Act. (3) All movable and immovable property and liabilities of the Special Economic Zone Development Committee formed under the Special Economic Zone Development Committee (Formation) Order, 2069 shall vest in the Authority under this Act.